

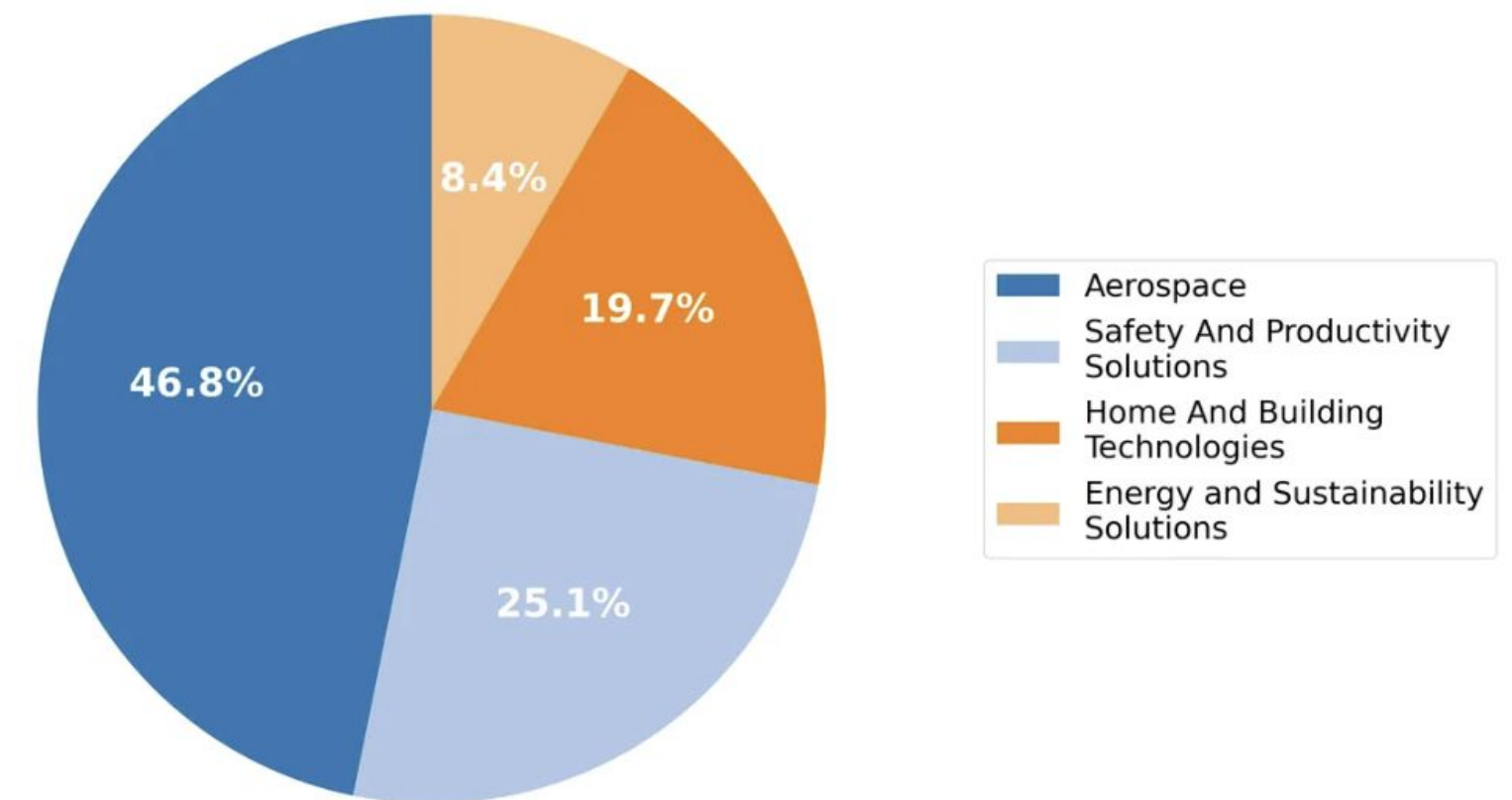
Takeover Project

Honeywell

Group Members: Stephen Mickus, Sahil Dand, Beckham Carson, Anissa Hakki, Jeho Choi, Gage Hamilton

As-is Overview of **Honeywell**

- Honeywell International Inc. is a large, diversified technology company that provides industry-specific solutions across several sectors, including aerospace, building automation, industrial operations, and energy
- Honeywell International Inc. operates in four sectors
 - **Aerospace:** 46.8% of sales
 - **Building Technologies:** 19.7% of sales
 - **Safety & Productivity:** 25.1% of sales
 - **Energy & Sustainability:** 8.4% of sales



Why We Chose HON

- ROE: 24.26% | ROA: 5.95%
 - Honeywell is not distressed and has a strong profitability base
 - ROE and ROA above peer group averages
- Trails best-in-class peers
 - GE Aerospace and Union Pacific show higher ROE and ROA returns
- Strong takeover upside
 - Honeywell is not capturing its full value potential and has room to improve asset productivity

		Profitability			
Company ▼	Ticker ▼	ROE ▼	ROA ▼	Operating Margin ▼	EBITDA Margin ▼
Honeywell International Inc.	HON	24.26%	5.95%	17.54%	20.94%
DuPont de Nemours Inc	DD	-4.18%	-2.68%	12.56%	6.06%
GE Aerospace	GE	45.79%	6.87%	18.93%	24.24%
KION GROUP AG	KNNGF	4.56%	1.51%	6.93%	16.58%
Union Pacific Corp	UNP	40.38%	10.39%	40.17%	52.57%
Peer Group Average		22.16%	4.41%	19.23%	24.08%

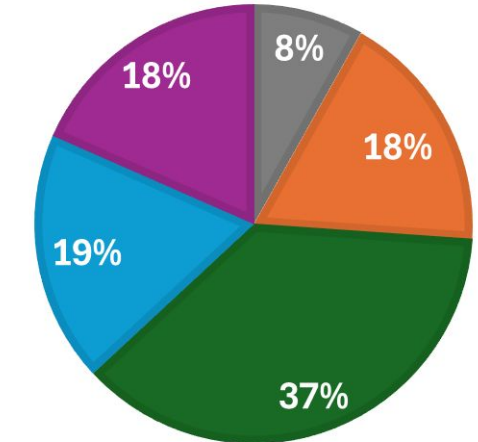
Management

■ Base Salary ■ Annual Incentive Plan
■ Performance Stock Units ■ Stock Options
■ RSUs



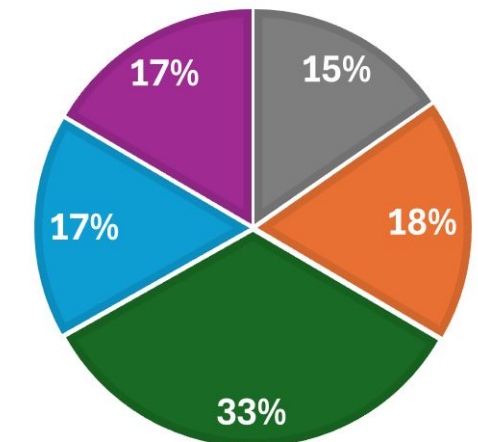
Vimal Kapur - Chairman and CEO

- 35+ years at Honeywell → VP, President of HPS, CEO of Honeywell Building Tech, CEO of Honeywell Performance Materials and Tech, President and CEO, Chairman
- CEO since 2023, Chairman since 2024
- Led major portfolio transformation:
 - ~14B in acquisitions
 - driving 3-way company split (Aerospace, Materials, Automation)



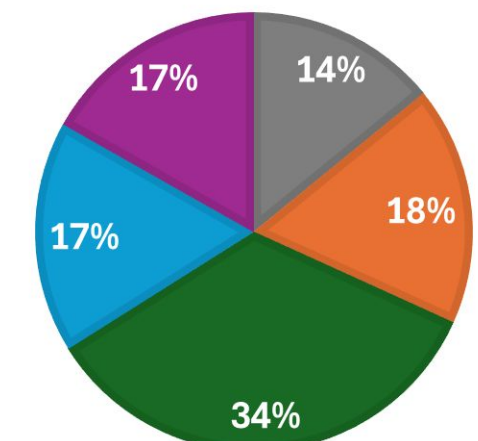
Michael Stepniak: SVP and CFO

- ~19 years, CFO since 2020 → leads Treasury, Investor Relations, Business Analysis & Planning
- Strong financial performance execution:
 - 7% organic growth, 12% EPS growth
- \$10.0B total capital deployed (2025)
 - \$3.8B share repurchases
 - \$3.0B dividends (increased for 16th time in 15 consecutive years)



James Carrier: President and CEO, Aerospace Technologies

- CEO since 2023 → leads ~\$17.5B Aerospace segment
- Strong growth:
 - 13% revenue growth, 12% organic
- Major strategic deal wins:
 - ~26B lifetime value across platforms (e.g. Anthem, Attune, Assure)
- Expanding high-value segments (e.g. Defense and Space & Aftermarket services)



As-is Financial Data (Income Statement)

As-is Financial Data												
(\$ in millions)												
		2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Income Statement etc.												
Net Sales		32637	34392	35466	33009	34717	37442	39455	41577	44084	46742	49561
			5.4%	3.1%	-6.9%	5.2%	7.8%	5.4%	5.4%	6.0%	6.0%	6.0%
Cost of sales		22169	23394	22347	22995	20705	22479	23927	25503	27215	29072	31084
			5.5%	-4.5%	2.9%	-10.0%	8.6%	6.4%	6.6%	6.7%	6.8%	6.9%
Gross Profit		10468	10998	13119	10014	14012	14963	15528	16074	16869	17670	18477
Free Cash Flow Calculation												
D&A		1002	1223	1176	1204	1223	1002	1301	1371	1454	1542	1635
As a % of sales		3.07%	3.56%	3.32%	3.65%	3.52%	2.68%	3.30%	3.30%	3.30%	3.30%	3.30%
CapEx		248	284	246	741	871	986	636	670	710	753	798
As a % of sales		0.76%	0.83%	0.69%	2.24%	2.51%	2.63%	1.61%	1.61%	1.61%	1.61%	1.61%
Changes in NWC		617	51	-1334	-150	-337	-737	-336	-355	-376	-399	-423
		1.89%	0.15%	-3.76%	-0.45%	-0.97%	-1.97%	-0.85%	-0.85%	-0.85%	-0.85%	-0.85%
Free Cash Flow		4213	5730	7553	3073	6939	8108	5842	6044	6680	6910	7119
FCF Margin		13%	17%	21%	9%	20%	22%	15%	15%	15%	15%	14%

As-is Financial Data (Balance Sheet)

As-is Financial Data												
(\$ in millions)												
	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	
Balance Sheet												
ASSETS												
Current assets											Growth Rates	
Cash and cash equivalents	14275	10959	9627	7925	9906	12487	12329	12406	12502	12643	12864	-2.21%
Short-term investments	945	564	483	170	386	443	390	344	303	267	236	-11.86%
Accounts receivable, less allowances	6827	6830	7440	7530	7247	7621	7762	7906	8052	8201	8353	1.85%
Inventories	4489	5138	5538	6178	5884	6162	6496	6848	7220	7611	8024	5.42%
Assets held for sale	0	0	0	0	1365	2492	2492	2492	2492	2492	2492	Flatline
Other current assets	1639	1881	1894	1699	1259	1182	1119	1060	1004	951	900	-5.30%
Assets of discontinued operations	0	0	0	0	1861	0	0	0	0	0	0	Flatline
Total current assets	28175	25372	24982	23502	27908	30387	30588	31056	31573	32165	32868	
												Growth Rates
Investments and long-term receivables	685	1222	945	939	1230	1404	1582	1783	2010	2265	2553	12.71%
Property, plant and equipment—net	5570	5562	5471	5660	4457	4629	4488	4352	4220	4092	3967	-3.04%
Goodwill	16058	17756	17497	18049	21019	21079	22057	23080	24151	25271	26443	4.64%
Other intangible assets—net	3560	3613	3222	3231	6621	6736	7491	8331	9266	10305	11460	11.21%
Insurance recoveries for asbestos-related liabilities	366	322	224	170	235	0	235	235	235	235	235	Flatline (ignore 2025A)
Deferred income taxes	760	489	421	392	10556	199	159	127	102	81	65	-20.02%
Other assets	9412	10134	9513	9582	3170	9247	9220	9193	9166	9139	9112	-0.29%
Total assets	64586	64470	62275	61525	75196	73681	75821	78158	80721	83553	86705	2.22%

As-is Financial Data (Balance Sheet)

As-is Financial Data											
(\$ in millions)											
	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Balance Sheet											
LIABILITIES											
Current liabilities											
Accounts payable	5750	6484	6329	6849	6109	6315	6414	6515	6618	6722	6828
Commercial paper and other short-term borrowings	3597	3542	2717	2085	4273	5893	6398	6947	7543	8190	8892
Current maturities of long-term debt	2445	1803	1730	1796	1325	1546	1432	1327	1229	1139	1055
Accrued liabilities	7405	7679	9162	7809	8055	8462	8652	8847	9046	9249	9457
Current liabilities of discontinued operations	0	0	0	0	1086	0	0	0	0	0	0
Liabilities held for sale	0	0	0	0	408	1198	1198	1198	1198	1198	1198
Total current liabilities	19197	19508	19938	18539	21256	23414	24095	24834	25634	26498	27430
Long-term debt	16342	14254	15123	16562	25440	27141	29536	32141	34977	38063	41422
Deferred income taxes	2113	2364	2093	2094	1581	1577	1502	1430	1362	1298	1236
Postretirement benefit obligations other than pensions	242	208	146	134	112	111	97	86	75	66	58
Asbestos-related liabilities	1920	1800	1180	1490	1325	0	0	0	0	0	0
Other liabilities	6975	7087	6469	6265	5581	6408	6318	6229	6142	6056	5971
Liabilities of discontinued operations	0	0	0	0	740	0	0	0	0	0	0
Redeemable noncontrolling interest	7	7	7	7	7	0	0	0	0	0	0
Total Liabilities	46796	45228	44956	45091	56042	58651	61548	64721	68191	71981	76117
SHAREOWNERS' EQUITY											
Capital common stock issued	958	958	958	958	958	958	958	958	958	958	958
Additional paid-in capital	7292	8141	8564	9062	9695	10157	10734	11343	11987	12668	13387
Common stock held in treasury, at cost	-27,229	-30,462	-34,443	-38,008	-39,378	-43,029	-46,439	-50,119	-54,091	-58,378	-63,004
Accumulated other comprehensive loss	-3,377	-2,895	-3,475	-4,135	-3,491	-5,146	-5,520	-5,922	-6,352	-6,814	-7,310
Retained earnings	39905	42827	45093	47979	50835	50964	53085	55294	57595	59991	62488
Total Honeywell shareowners' equity	17549	18569	16697	15856	18619	13904	12817	11554	10096	8425	6519
Noncontrolling interest	241	673	622	578	535	1,126	1456	1882	2434	3147	4069
Total shareowners' equity	17790	19242	17319	16434	19154	15030	14273	13436	12530	11572	10588
Total Liabilities, and Shareowners' Equity	\$64,586	\$64,470	\$62,275	\$61,525	\$75,196	\$73,681	\$75,822	\$78,158	\$80,721	\$83,553	\$86,704
Check	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	(\$0)	(\$0)	(\$0)

As-is DCF

As-is Discounted Cash Flow							
	0	1	2	3	4	5	6
	2025	2026	2027	2028	2029	2030	Terminal
Unlevered FCF	8108	4759	5135	5855	6208	6582	198689.307
Discount Factor	1	1.00	0.87	0.81	0.75	0.70	0.65
PV of CFs		4759	4448	4720	4658	4596	129138
EV (NPV of Future Cash Flows)							152319
- Debt							27141
+ Cash							12487
							137665
Diluted Average Shares							633.65
Estimated Price Per Share							\$ 217.26
Current Share Price (4/26/2026)							\$ 212.28

within +/- 20%

Assumptions & Current Data			
Risk-free rate	4.300%	Debt	36739.00 (Pitchbook)
Equity-risk premium	5.00%	Equity	135075.00
Historical beta	0.90	Portion of Debt	21%
		Portion of Equity	79%
Perp. Growth rate	4%	Kd	3.08% (Pitchbook)
Assumed Tax Rate	20%	Ke	8.80%
		WACC	7.45%

Sensitivity Analysis

Share Price Sensitivity										
Terminal Growth Rate										
WACC	\$217.25	3.00%	3.25%	3.50%	3.75%	4.00%	4.25%	4.50%	4.75%	5.00%
	6.45%	\$227.91	\$188.46	\$169.17	\$160.98	\$160.98	\$169.17	\$188.46	\$227.91	\$318.14
	6.70%	299.8982	236.2936	207.3256	195.4311	195.4311	207.3256	236.2936	299.8982	472.2533
	6.95%	375.3587	281.8174	242.0827	226.2478	226.2478	242.0827	281.8174	375.3587	682.7008
	7.20%	427.6843	310.9483	263.5703	245.0382	245.0382	263.5703	310.9483	427.6843	871.5167
	7.45%	427.6843	310.9483	263.5703	245.0382	245.0382	263.5703	310.9483	427.6843	871.5167
	7.70%	\$375.36	\$281.82	\$242.08	\$226.25	\$226.25	\$242.08	\$281.82	\$375.36	\$682.70
	7.95%	299.8982	236.2936	207.3256	195.4311	195.4311	207.3256	236.2936	299.8982	472.2533
	8.20%	227.9052	188.4621	169.1674	160.9831	160.9831	169.1674	188.4621	227.9052	318.1351
	8.45%	169.8799	146.3219	134.0636	128.7077	128.7077	134.0636	146.3219	169.8799	217.2458

Prospective Solutions



1.) Margin Expansion



**2.) Increase Share
Repurchase plan**

Margin Expansion

Segment Diagnosis

- Underperforming Energy & Sustainable Solutions Segment
- Smallest Segment: ~16–17% of total revenue
- -2% CAGR

Reinvestment Target: Industrial Automation

- \$11B in post-tax cash → \$5B capital expenditure into segment
- Capex gains phased in on top of segment CAGR starting 2027

Solution

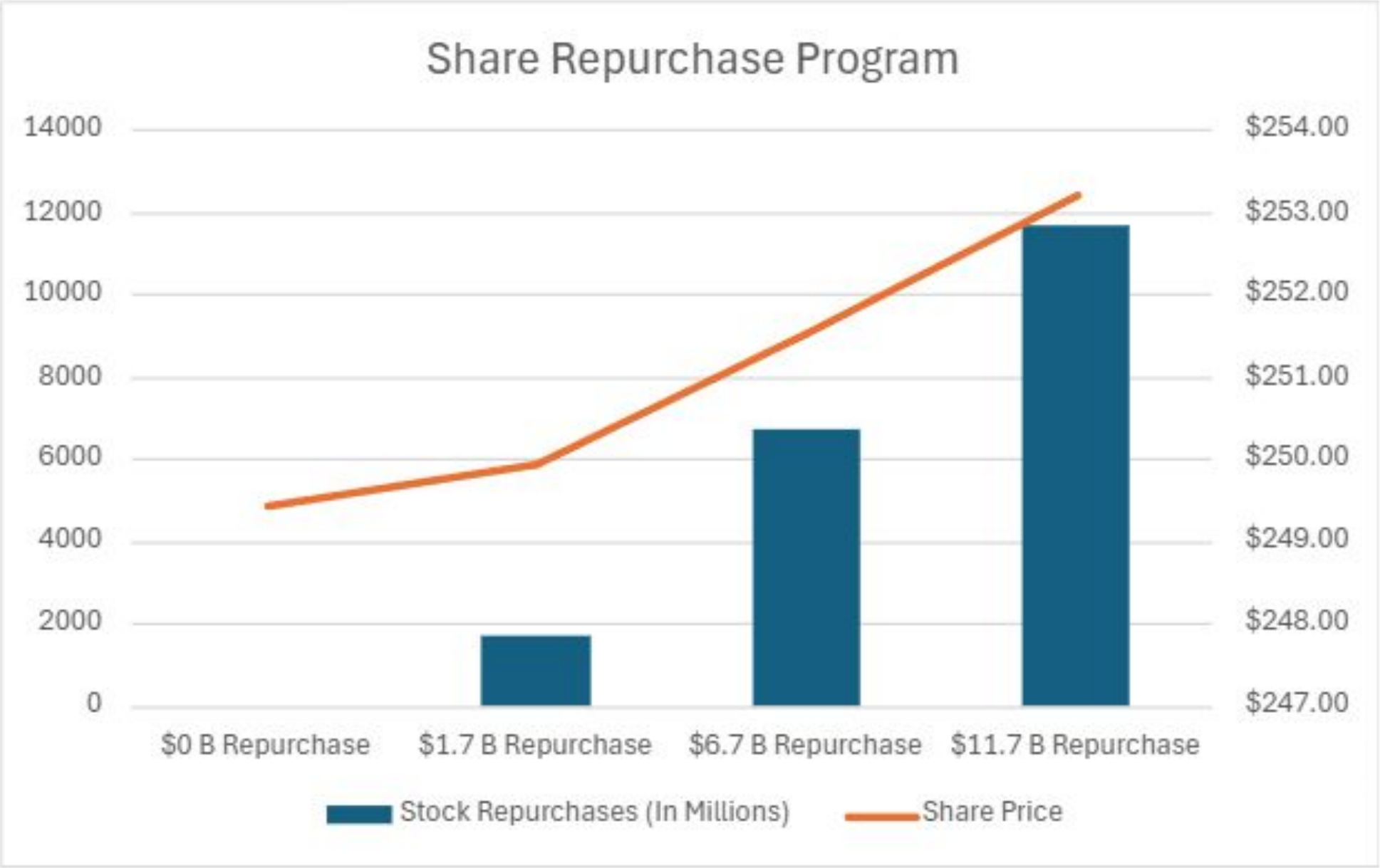
- Remove underperforming segment
- Sell segment and collect proceeds
- Reinvest proceeds in another segment

Net Line Item Effects

- Higher average FCF Margin
- Decreased SG&A costs
- Higher average Gross & Operating margins

Reinvest proceeds in another segment											
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Industrial Automation Net Sales	5189	5539	6000	10756	10051	9401	9401	9890	10663	11773	12999
YoY % Change		6.7%	8.3%	79.3%	-6.6%	-6.5%	0.0%	5.2%	7.8%	10.4%	10.4%
Capex gains starting in 2027 Phased in							0	489	1262	2372	3598

Share Repurchase Plan



Capital Allocation

- **Initial Authorization:** In April of 2023 Honeywell’s Board of Directors approved a \$10 billion share repurchase authorization without an expiration date.
- **Assumption:** \$1.7 billion is left under the current authorization. Assuming Honeywell approves a secondary authorization of \$10 billion, there would be a total authorization worth \$11.7 billion.

Solution

- As-is DCF represents undervaluation
- Strong and stable FCF Margin at 22%
- \$18.79 billion in idle cash
- Repurchase 55.62 million shares @ \$210.33 reducing diluted average shares by 8.78%
- Illustrative Scenarios (along with other plan):
 - **\$1.7 Repurchase:** 18.84% stock price growth
 - **\$6.7B Repurchase:** 19.58% stock price growth
 - **\$11.7B Repurchase:** 20.39% stock price growth (\$253.21)

Updated DCF

UPDATED Discounted Cash Flow							
	⁰	¹	²	³	⁴	⁵	⁶
	2025	2026	2027	2028	2029	2030 Terminal	
Unlevered FCF	8108	9739	3359	5541	6287	7116	214801
Discount Factor	1	1.00	0.87	0.81	0.75	0.70	0.65
PV of CFs		9739	2909	4467	4717	4969	139610
EV (NPV of Future Cash Flows)							166412
- Debt							27141
+ Cash							18793
							158064
Diluted Average Shares							633.65
Estimated Price Per Share							\$ 249.45
Current Share Price (4/29/2026)							\$ 210.33

Assumptions & Current Data			
Risk-free rate	4.300%	Debt	36739.00 (Pitchbook)
Equity-risk premium	5.00%	Equity	135075.00
Historical beta	0.90	Portion of Debt	21%
		Portion of Equity	79%
Perp. Growth rate	4%	Kd	3.08% (Pitchbook)
Assumed Tax Rate	20%	Ke	8.80%
		WACC	7.45%

Sensitivity Analysis

WACC	Share Price Sensitivity Terminal Growth Rate									
	\$249.45	3.00%	3.25%	3.50%	3.75%	4.00%	4.25%	4.50%	4.75%	5.00%
	6.45%	\$260.87	\$218.23	\$197.37	\$188.52	\$188.52	\$197.37	\$218.23	\$260.87	\$358.42
	6.70%	338.6194	269.857	238.5399	225.6808	225.6808	238.5399	269.857	338.6194	524.9512
	6.95%	420.1445	319.0177	276.0609	258.9419	258.9419	276.0609	319.0177	420.1445	752.4097
	7.20%	476.6856	350.4833	299.2632	279.2284	279.2284	299.2632	350.4833	476.6856	956.5093
	7.45%	476.6856	350.4833	299.2632	279.2284	279.2284	299.2632	350.4833	476.6856	956.5093
	7.70%	\$420.14	\$319.02	\$276.06	\$258.94	\$258.94	\$276.06	\$319.02	\$420.14	\$752.41
	7.95%	338.6194	269.857	238.5399	225.6808	225.6808	238.5399	269.857	338.6194	524.9512
	8.20%	260.8686	218.227	197.3675	188.5196	188.5196	197.3675	218.227	260.8686	358.4154
	8.45%	198.2416	172.7733	159.5209	153.7307	153.7307	159.5209	172.7733	198.2416	249.4486

Share Repurchase Scenarios	Share Repurchases (In Millions)	Cash (In Millions)	Diluted Average Shares (In Millions)	Stock Price	Stock Growth
\$0 B Repurchase	0	\$ 18,793.00	633.65	\$ 249.45	18.60%
\$1.7 B Repurchase	1700	\$ 17,093.00	625.57	\$ 249.95	18.84%
\$6.7 B Repurchase	6700	\$ 12,093.00	601.80	\$ 251.52	19.58%
\$11.7 B Repurchase	11700	\$ 7,093.00	578.03	\$ 253.21	20.39%

The background features a large, abstract geometric design. It consists of several triangles in white and red. A prominent red triangle is in the top right corner. A white triangle is in the bottom right corner. A red triangle is in the top left corner. A white triangle is in the bottom left corner. A red triangle is in the middle left corner. A white triangle is in the middle right corner. A red triangle is in the bottom center.

Thank You!

Any Questions?